

PART 9 – BUSINESS INVESTIGATION

1) What is causing the profitability problem?

The main reason for the profitability problem is high discounts and low-profit products. When discounts increase, profit margin decreases. Profit margin falls from 38.8% at 0–5% discount to 25.4% at 15–20% discount. Therefore, the company should control discounts and improve product profitability.

2) Which products are responsible?

Some products have high revenue but low profit margins. Examples include Style Hub Product 0265, Fit Max Product 0182, Apex Product 0738, Nova Product 0144 and Urban X Product 0934. Therefore, the company should review their prices, costs and discount levels.

3) Which customer segments are responsible?

About 7,055 customers are at risk because they have not purchased for more than 90 days. Regular customers have the highest number of at-risk customers, and 469 VIP customers are also at risk. Therefore, the company should focus on customer retention, especially VIP and Loyal customers.

4) Which regions are underperforming?

Telangana and Delhi have the lowest revenue among the analyzed states. Their profit margins are similar to the other states. Therefore, the company should focus on increasing sales and customer reach in these states.

5) Are discounts affecting profit?

Yes, discounts are affecting profit. The profit margin decreases when the discount increases. The margin falls from 38.8% at 0–5% discount to 25.4% at 15–20% discount. Therefore, the company should reduce unnecessary discounts and use targeted offers.

6) Are returns affecting profitability?

Yes, returns are affecting profitability. The business has 1,944 returns from 30,000 orders, with a return rate of 6.48%. The main reasons are Size/Fit Issue, Changed Mind and Quality Issue. Therefore, the company should improve product quality, size information, packaging and delivery.

7) Which marketing channels are inefficient?

Google Ads is the least efficient marketing channel, with an ROI of 26.81%. Instagram has the highest ROI at 390.34%. Therefore, the company should review Google Ads spending and focus more on high-performing marketing channels.

8) Which customers are at risk?

Customers who have not purchased for more than 90 days are considered at risk. About 7,055 customers are at risk, including 469 VIP customers. Therefore, the company should use personalized offers, loyalty rewards and reminders to bring these customers back.

9) What are the biggest business opportunities?

The biggest business opportunities are reducing high discounts, improving low-profit products, reducing returns, bringing back at-risk customers, protecting VIP customers, improving marketing performance and increasing sales in weaker states. These actions can help the company improve profitability and customer retention.